FIGURE 6.67 US 10Y Treasury.

Even though we had a bad year, we did get some positive contribution from the rates sector, in particular in the April to August period. Without this, the year would have ended significantly worse, and we can see in Figure 6.67 what happened. First, we had a bearish head-fake, and got tricked into a brief short position. Right after that, we jumped on the long bandwagon and gained for the next few months.

There won't be any parades at the end of this one. You just lost over 20%, and that amounts to US$15 million (Tables 6.43 and 6.44). That's a one and a five, followed by six zeros. To make it even worse, you caused this loss while the stock market gained nearly 15%. From the average investor's point of view, you didn't just lose 20%, you lost 35%. They could have gotten the 15% for free in the stock markets. You're in the doghouse, that's for sure.

Being in a drawdown like this has another interesting consequence which you perhaps haven't thought of yet. Not only do you not get paid a performance fee, you won't get paid any on the way back up. You need to make a

TABLE 6.43 Sector results 2012

	Currencies	Agriculture	Non-Agriculture	Equities	Rates	All sectors
Long	−3.4	1.5	−5.5	2.3	2.8	−2.3
Short	−2.9	−4.6	−4.5	−4.1	−1.6	−17.6
Total	−6.2	−3.4	−9.3	−2.0	0.6	−20.1